



Kinetic - Dysons

MN-35017

Phase 1 Determination

Acquisition may be put into effect

27 July 2026

1. Determination and statement of reasons

Notified acquisition	Kinetic Holding Company Pty Ltd (Kinetic)’s proposed acquisition of: • 100% of the shares in L.C. Dyson’s Bus Services Pty Ltd (Dysons, together with its affiliates, the Dysons Group) pursuant to a share sale agreement; and • certain freehold and leasehold interests in bus depot assets currently leased by the Dysons Group and owned by related parties of Dysons’ shareholders (the Acquisition).
Determination	The Australian Competition and Consumer Commission has determined under section 51ABZE(1) of the <i>Competition and Consumer Act 2010</i> (Cth) that the Acquisition may be put into effect.
Parties to the Acquisition	The acquirer, Kinetic, is a transportation company that operates bus services in Australia and overseas. These services include urban route and school services, regional bus services, and charter bus services, airport transfers bus services and some specialised bus services, for example to the mining and resources sector. Kinetic has operations in Victoria, New South Wales, Queensland, Northern Territory, Western Australia and Tasmania. In Victoria, Kinetic: • supplies urban bus services in certain areas of metropolitan Melbourne • holds the head contract with Metro Trains for train replacement services during planned disruptions in the South-East area of Melbourne, and during unplanned disruptions across Melbourne • holds the head contract with Yarra Journey Makers for tram replacement services • supplies airport transfer and landside services via SkyBus and some charter services in metropolitan Melbourne. In regional NSW, Kinetic: • operates urban and school bus services in the Murwillumbah and Tweed Heads area • supplies charter services from depots in Murwillumbah and Tweed Heads. The target, Dysons, is a family-owned coach and bus operator based in Melbourne, which provides services in Victoria, regional New South Wales and regional South Australia. These services include urban route services, school services, regional bus services, rail replacement services and charter services. In Victoria, Dysons: • supplies urban bus services in certain areas of metropolitan Melbourne, and regional bus services in South-Eastern Victoria (Gippsland and Sale) and North-Eastern Victoria (Wangaratta, Wodonga and Shepparton) • holds the head contract with Metro Trains for train replacement services during planned disruptions in the North-West area of Melbourne • manages V/Line’s appointed subcontractors on V/Line’s

	behalf to provide rail replacement services for regional rail supplies dedicated school services and charter services. In NSW, Dysons supplies school bus services under contracts with Transport for NSW in the Finley, Deniliquin, Hay, Moama and Balranald areas. Dysons also provides some NSW transit replacement services for NSW Trains.
Overlap and relationship between the Parties	The Parties overlap in the supply of: - urban bus services in Victoria, specifically Melbourne - transit replacement services in Victoria - regional bus services in New South Wales - charter bus services in Melbourne.
Reasons for determination	When making a determination in Phase 1, the Australian Competition and Consumer Commission (ACCC) undertakes a competition assessment and considers whether it is appropriate for an acquisition to be approved or subject to further assessment in Phase 2 in accordance with section 51ABZJ of the <i>Competition and Consumer Act 2010</i> (Cth) (the Act). In doing so, the ACCC must have regard to the object of the Act and all relevant matters, including the interests of consumers. For more information about the ACCC's approach to considering notified acquisitions, see the ACCC's merger assessment guidelines and interim merger process guidelines. In conducting its competition assessment, the ACCC has considered the information and documents that were submitted with the notification form, information from third parties, and publicly available information. The ACCC has determined that the Acquisition may be put into effect as it considers that the Acquisition is unlikely to have the effect of substantially lessening competition in any market. In reaching its decision, and based on the material before it, the ACCC makes the following findings. <u>Supply of urban bus services in Victoria</u> - Kinetic would continue to face competition from alternative credible bidders for urban bus service contracts in Victoria, including from interstate and international operators. - All assets required to operate urban bus services in Melbourne are held by a special purpose vehicle and are transferable to an incoming operator under the asset transfer provisions contained in the Melbourne Bus Franchise and Melbourne Zero Emissions Bus Franchise contracts, which limits the competitive advantage of incumbents in future tenders. - The Department of Transport and Planning, which supports the Head, Transport for Victoria in carrying out its functions, including the contracting of bus services in Victoria, has the ability to structure tender processes in a way that promotes competition. <u>Supply of transit replacement services in Victoria</u> - Some market participants raised concerns that the Acquisition would reduce competition for head contracts and give rise to the

	risk the merged entity could internalise or control subcontracting opportunities. • The Acquisition would be unlikely to reduce competition for head contracts as these services are competitively tendered, opportunities arise around every 3-5 years, public transport operators have switched head contractors in the past, and operators do not need local depots or compliant fleet vehicles to hold head contracts. • Kinetic would continue to face competition from alternative credible bidders for head contracts for the coordination and delivery of transit replacement services in Victoria. • The merged entity would not have the ability or incentive to foreclose rivals' access to subcontractor work. Demand for transit replacement services is highly volatile, it is unlikely that any single operator could always fulfil demand, and most hours have historically been subcontracted. Further, there are contractual limitations on the use of urban bus fleet vehicles for other purposes, which limits any advantage the merged entity may have as an urban bus services supplier to provide transit replacement work. <u>Supply of bus services in regional New South Wales</u> • The Parties have not competed for contracts in New South Wales in the past and it is unlikely there would be significant competition between the Parties in the absence of the Acquisition. <u>Supply of charter bus services in Melbourne</u> • Kinetic would continue to face competition from alternative suppliers of charter bus service providers in Melbourne.
Applications for review	A notifying party, or other person who has been allowed to do so by the Australian Competition Tribunal, may apply for review if they are dissatisfied with the determination. Pursuant to section 100C of the Act, applications for review of the determination are to be made to the Australian Competition Tribunal before the end of 14 calendar days after this statement of reasons was included on the ACCC's Acquisitions Register. To confirm whether there has been any application for review, please contact the Australian Competition Tribunal.

Determination made by Commissioner Williams pursuant to a delegation under section 25(1) of the Act

Determination made by the Commission